MODULE 39 · DOMAIN 3 - BUSINESS ENVIRONMENT

Organisational change and culture

Assessing culture and readiness, change models, resistance and adoption, change fatigue, and what to do when the organisation itself changes around the project.

DOMAIN III - Business Environment EXAM WEIGHT 26% MODULE 39 of 49

admin@sthithapragna.com

Projects deliver outputs. People adopting them deliver the benefits.

Assessing organisational culture

- How are **decisions** made: quickly by one person, or slowly by consensus?
- What is the attitude to **risk** and to failure?
- How **hierarchical** is it? Can juniors challenge seniors?
- How much **trust** is there, and how did past changes go?
- Observe, ask, and read the history. Then tailor the plan, governance and engagement to fit.

> ON THE EXAM
>
> The outline's first enabler: assess organisational culture. A plan that ignores culture meets it later, as resistance.

Culture and what it means for the project

IF THE CULTURE IS	THEN THE PROJECT SHOULD
Consensus-driven and slow to decide	Allow time for decisions; involve people early; pre-discuss proposals
Risk-averse	Pilot first; show evidence; phase the change
Strongly hierarchical	Secure visible senior sponsorship; create safe routes for concerns
Low in trust after past failures	Start small, deliver quick wins, communicate honestly
Fast-moving and experimental	Iterate; release early; keep governance light

ON THE EXAM

Tailor to the culture you have, not the one you would like. Changing culture is rarely the project's job.

Assessing readiness and impact

- **Change impact assessment**: who is affected, what changes for them, and by how much.
- **Readiness assessment**: do they understand, want, and have the skills and time for the change?
- High-impact groups with low readiness need the most support, and the earliest.
- Assuming everyone is equally affected wastes effort on some groups and neglects others.

> ON THE EXAM
>
> Map impact and readiness by group. Put support where impact is high and readiness is low.

Change models

MODEL	IN ONE LINE
Lewin	Unfreeze, change, refreeze
Kotter's eight steps	Urgency, coalition, vision, remove obstacles, early wins, anchor it
ADKAR	Awareness, Desire, Knowledge, Ability, Reinforcement
Bridges' transition model	Endings, a neutral zone, new beginnings
Satir change model	Status quo, chaos, integration, new status quo

ON THE EXAM

The exam rarely asks you to name a model. It asks what to do next, and the models answer that.

ADKAR: change one person at a time

01
Awareness
Why is this change needed?

›

02
Desire
Do I want to take part?

›

03
Knowledge
Do I know how to change?

›

04
Ability
Can I actually do it now?

›

05
Reinforcement
What makes it stick?

ON THE EXAM

Find the first missing step and fix that. Training (knowledge) will not help someone who lacks desire.

Change or transition?

CHANGE

What happens outside

- A new system, structure or process
- Happens on a date
- Can be planned and delivered
- The project's output

TRANSITION

What people go through inside

- Letting go of the old way
- Takes time, and varies by person
- Includes a confusing 'neutral zone'
- Where adoption really happens

THE TIEBREAKER

A dip in morale and productivity after go-live is normal. Support people through it; do not reverse the change.

Understanding resistance

- Resistance is **normal**, and usually protects something real: status, workload, competence, a genuine risk.
- Listen first, privately. Ask what worries people about the change.
- Involve resisters in shaping the details. People support what they help create.
- Show what is in it for them, honestly, including what they will lose.
- Overriding resistance with authority gets compliance at best, and quiet sabotage at worst.

> ON THE EXAM
>
> Treat resistance as information, as module 12 said. Find the interest behind it.

Supporting adoption

- **Change champions** in each affected group: trusted peers who help and advocate.
- Training at the right time, close to go-live, with practice on real tasks.
- Communicate repeatedly, through leaders people trust, not just project emails.
- **Quick wins** early, and **reinforcement** afterwards: recognition, removing the old way.
- **Measure adoption**, such as usage, and act where it lags.

> ON THE EXAM
>
> Adoption is planned and measured like any deliverable. It is where the benefits come from.

Change fatigue

- People absorbing several changes at once stop engaging with any of them.
- Check what else is changing for the same people, at the same time.
- Coordinate through the PMO or portfolio: sequence changes, or combine training.
- Adjust timing if needed, and agree it with governance.

> ON THE EXAM
>
> A great change landed on exhausted people fails. Look across the portfolio, not just your project.

When the organisation changes around the project

- The outline's second enabler: **evaluate the impact of organisational change** on the project.
- A new sponsor. A restructure. A merger. New leadership, or a new strategy.
- Re-check the business case and objectives: do they still hold?
- Re-map stakeholders; engage new decision-makers early; update risks and resources.
- Carrying on unchanged after a major reorganisation assumes nothing that matters has moved.

> ON THE EXAM
>
> Organisational change is an environmental shift for the project. Evaluate its impact, then act.

Project Lantern: bringing people with it

- Culture assessment: consensus-driven, cautious. So a pilot clinic first, and every decision pre-discussed.
- Impact assessment: reception staff most affected; they got champions, early demos and hands-on training.
- A productivity dip after the pilot go-live was expected; floor walkers supported staff for two weeks.
- When Northgate appointed a new chief operating officer, the PM met her in week one to re-confirm objectives.

> ON THE EXAM
>
> Tailored to culture, support where impact was highest, the dip expected, and a leadership change handled early.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
The plan clashes with how the organisation works	Assess culture; tailor plan and governance
People know why, but do not want the change	ADKAR desire: understand concerns, involve them
A new sponsor or a reorganisation	Re-validate objectives; re-engage decision-makers
Several changes hitting the same people	Coordinate timing across the portfolio
Productivity dips after go-live	Normal transition: support, do not reverse
Delivered, but few people use it	Plan and measure adoption with the business owner

ON THE EXAM

Assess culture, find where people are stuck, support the transition, and watch the organisation around you.

> A project manager joins an organisation where decisions are made by consensus across several committees, and people are cautious about risk. Her plan assumes approvals within two days.
>
> After a month, every approval has taken two to three weeks.

What should the project manager do?

A. Keep pushing the committees to meet the two-day approval target.

B. Escalate the slow approvals to the sponsor as a performance problem.

C. Assess the culture, and tailor the plan and engagement: allow for consensus time and discuss proposals early.

D. Launch an initiative to make the organisation's culture faster.

◆ PAUSE AND DECIDE

What should the project manager do?

A. Push for two days.
Fights the culture; approvals stay slow and relationships suffer.

B. Escalate as a performance issue.
Treats the organisation's normal way of working as a fault.

C. Assess culture; tailor the plan.
The outline's enabler: fit the plan to the culture you actually have.

D. Change the culture.
Far beyond a project's remit, and no help to this plan.

THE SIGNAL

A plan that clashes with the culture: tailor the plan, not the organisation.

> Warehouse staff have attended briefings and understand why a new stock system is being introduced. However, many say openly that they do not want it, and prefer the old system.
>
> Training starts next week.

Using the ADKAR model, what should the project manager focus on?

A Add more training sessions, to build knowledge faster.

B Make use of the new system mandatory from go-live.

C Send more communications explaining why the change is needed.

D Build desire: understand their concerns, involve them, and use trusted champions before training.

◆ PAUSE AND DECIDE

Using the ADKAR model, what should the project manager focus on?

A More training.

Knowledge is step three. It does not fix missing desire.

B Mandate it.

Compliance without desire; workarounds and resistance follow.

C More awareness messages.

Awareness is already there. Repeating it fixes nothing.

D Build desire first.

The first missing ADKAR step is desire. Fix that before training.

THE SIGNAL

Awareness present, desire missing: work on desire. Training cannot create it.

> Halfway through a project, the organisation restructures. The project's sponsor moves to a new role, and a new sponsor from a different division takes over.
>
> The new sponsor was not involved in approving the business case.

What should the project manager do first?

A. Meet the new sponsor to review the business case, objectives and how she wants to be engaged.

B. Continue as planned, since the business case is already approved.

C. Pause the project until the restructure is complete.

D. Escalate the change of sponsor to the chief executive.

◆ PAUSE AND DECIDE

What should the project manager do first?

A Meet the new sponsor; review case and engagement.

Evaluates the impact of the change, and builds the key relationship early.

B Carry on as planned.

Assumes a sponsor from another division shares the old priorities.

C Pause the project.

Wastes time before anyone knows whether anything needs to change.

D Escalate to the chief executive.

A sponsor change is normal governance, not a crisis.

THE SIGNAL

A new sponsor: meet them first, and re-validate the business case and objectives together.

> A new customer system is due to go live in March to a customer service team. The project manager learns that the same team is also receiving a new telephony system and a new rota system in March.
>
> The team manager says her staff are already overwhelmed.

What should the project manager do?

A. Go live in March as planned, since the other changes are not this project's concern.

B. Work with the PMO and the other projects to assess readiness and coordinate the timing of the changes.

C. Send more communications to prepare the team.

D. Cancel this project's go-live.

◆ PAUSE AND DECIDE

What should the project manager do?

A Go live regardless.
Ignores change fatigue; adoption, and benefits, will suffer.

B Coordinate timing across projects.
Addresses change saturation with the people who can sequence it.

C More communications.
Adds to the overload rather than reducing it.

D Cancel the go-live.
Overreaction. Re-timing may be all that is needed.

THE SIGNAL

Several changes hitting the same team: coordinate across the portfolio. Adoption depends on capacity.

> Two weeks after a new finance system went live, staff are slower than before, frustrated, and say they miss the old system. No serious defects have been found.
>
> A department head asks whether the old system should be switched back on.

What should the project manager do?

A Switch back to the old system until staff are more comfortable.

B Repeat the full training programme for all staff.

C Explain that a temporary dip is normal, and increase hands-on support, quick fixes and feedback, without reversing the change.

D Take no action, since the project has delivered the system.

◆ PAUSE AND DECIDE

What should the project manager do?

A. Switch back.
Reverses a working change at the hardest moment; the next attempt is harder.

B. Repeat all training.
Classroom training again is not what people in the neutral zone need.

C. Normal dip: support, fixes, feedback.
Supports people through the transition, as Bridges and Satir describe.

D. No action.
The benefits depend on adoption, which is now at risk.

THE SIGNAL

A dip after go-live with no serious defects is transition, not failure. Support through it.

> A new expenses app went live three months ago on time and on budget. Only thirty percent of staff use it; the rest still submit paper forms, which finance continues to accept.
>
> The expected savings have not appeared.

What should the project manager do?

A Close the project, since the app was delivered on time and budget.

B Add new features to make the app more attractive.

C Report that the staff are refusing to use the app.

D Work with the business owner on adoption: champions, support, retiring the paper route, and measuring usage.

◆ PAUSE AND DECIDE

What should the project manager do?

A Close it.

Output delivered, benefit missing. The job is not finished.

B More features.

The barrier is adoption, not functionality.

C Blame the staff.

Ignores that the old way is still open and nobody is reinforcing the new one.

D Drive adoption with the business owner.

Reinforcement, support and measurement turn the output into benefits.

THE SIGNAL

Delivered but unused: the benefits depend on adoption. Reinforce the new way and retire the old one.

Outputs are delivered. Benefits are adopted. Plan for the people.

admin@sthithapragna.com